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China Autos & Shared Mobility | Asia Pacific

Demand floor in place, rebound catalysts arrive later

Takeaways from recent channel checks and industry calls suggest that auto sales have likely found a floor, but have yet to regain momentum, with demand still conspicuously weak. Next meaningful window appears in Aug–Sept, when new model cycles, seasonal factors, and geopolitical dynamics converge.

As the sector closes out a challenging 2Q, investor conversations indicate that sentiment is worse than underlying reality. Persistent growth concerns, coupled with a lack of near-term earnings catalysts, continue to limit bottom-up conviction. At the same time, the ongoing liquidity drain toward regional AI/tech plays has distorted sector discussions, with most dialogues remaining at a high-level rather than focusing on company fundamentals (e.g., BYD, Geely, NIO, XPeng, Fuyao).

The market increasingly reflects a binary divide between AI and everything else (including autos). That said, we believe this pessimism is setting up potential trading opportunities in 2H, with a window likely emerging in mid-3Q, supported by low base effects, above-seasonal demand underpinned by solid order books, policy-driven consumption support, and an early ramp in new launches from late July. Some investors may also begin to pull forward valuation frameworks to 2027. Within this context, BYD and Geely appear well positioned for a rebound, while XPeng remains an event-driven story despite ongoing debate.

We address some topical enquiries and key feedback from recent channel checks:

June sales should be stronger than headline data suggests, supported by better-than-expected sell-through driven by extended 618 promotions, stacked subsidies, license-plate exemptions in select cities, and lower fuel prices offering temporary relief to ICE demand. Wholesale volumes are likely to rise by low-teens MoM, led by BEVs and PHEVs, with modest gains in HEVs, particularly in the RMB150–200k segment. Notably, some OEMs are subtly lowering targets and prioritizing inventory digestion to protect channel profitability and prepare for a cleaner restart ahead of 2H product launches. We estimate 2Q PV wholesale volumes at 6.7–6.9mn units, down 3–5% YoY (vs. -8% in 1Q), with the YoY gap likely normalizing in 2H.

July should see a seasonal lull, with a more meaningful recovery potentially emerging in Aug–Sept as purchase intent improves. In our view, the market may start to price this in ahead of realization.

On the demand side, consumers remain cautious amid rapid EV iteration.

Frequent model refreshes, fast-paced specification upgrades, and ongoing price cuts are extending decision cycles. Meanwhile, the ICE segment appears structurally challenged, with discounting no longer effectively converting traffic, and widening disadvantages in AD/AI capabilities and resale values.

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**CHINA AUTOS & SHARED MOBILITY**

Asia Pacific

Industry View

In-Line

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The mass-market segment (~RMB150k) is expected to regain some traction in 2H, supported by new offerings from BYD and Geely filling the gap left by ICE displacement. These launches appear largely incremental rather than cannibalistic.

In contrast, competitive pressures in the premium/luxury segment are intensifying, as reflected in BMW's recent guidance cut. The challenges faced in China and APAC appear structural rather than company-specific. The RMB300–400k segment increasingly looks like the last line of defense, but remains under pressure. Industry feedback suggests that a credible response from global OEMs now requires native EV platforms, advanced ADAS capabilities, and residual value guarantees. We remain cautious, as brand erosion in this segment is unlikely to be linear and could accelerate.

Policy remains supportive but is unlikely to be a major catalyst this year. The 2026 trade-in subsidy pool (~RMB125bn) is being deployed more gradually than last year, with daily applications of 20–30k units (over 50% of monthly sales) and potential upside in Aug–Sept. Recent policy measures targeting auto circulation and after-sales ecosystems are constructive but should have limited near-term demand impact. Overall, policy appears to be in stabilization rather than stimulus mode.

In terms of models that draw market attention, feedback varies, but frequently cited models include BYD Great Tang (with ~40–50k locked orders post-launch), Sea Lion 08, XPeng Mona L03, Li Auto L8 Livis, Geely Battleship 700, and Xiaomi Sky Nomad N90.

Finally, the HIMA ecosystem continues to expand, albeit with rising internal competition. Huawei's strategy of partnering with large state-owned OEMs to deploy HarmonyOS across multiple segments is effectively a broad-based market capture approach. However, with five brands spanning different price tiers and a consistent rollout of lower-priced follow-on models, pricing is increasingly used as a share gain lever rather than a margin driver, raising the risk of internal cannibalization.

Valuation Methodology and Risks

BYD Company Limited (002594.SZ)

Blended methodology, weighted 25% bull, 50% base, 25% bear. We think incremental volume from ADAS adoption and trade-in stimulus extension could partially offset the fierce competitive landscape in the mass market segment.

We apply a 5% premium to our H-share bull and bear case scenario values; no premium in our bear case.

We use an exchange rate of 1.06 RMB/HKD.

Risks to Upside

- New model launch schedule
- Faster-than-expected overseas expansion
- Stronger-than-expected demand for NEVs globally

Risks to Downside

- Lack of progress in overseas expansion amid rising protectionism
- Weaker-than-expected demand for NEVs
- Worse-than-expected gross margin

Geely Automobile Holdings (0175.HK)

Base case, DCF. We assume a WACC of 11.2% and terminal growth rate of 3%.

Risks to Upside

- Continuous NEV market share gain domestically.
- More meaningful reduction in losses for its NEV businesses, via scale benefits.
- Stronger-than-expected profitability, driven by higher overseas sales.

Risks to Downside

- More notable than expected slowdown in domestic vehicle demand.
- Expanding losses at Geely's NEV businesses amid price competition.
- A slowdown in overseas sales due to competition and protectionism.

BYD Company Limited (1211.HK)

Blended methodology, weighted 25% bull, 50% base, 25% bear. We think incremental volume from ADAS adoption and trade-in stimulus extension could partially offset the fierce competitive landscape in the mass market segment.

- Bull: SOTP, implying 40x 2026E bull P/E. Reflects re-rating of comps (CATL, EV startups).
- Base: DCF (14.3% WACC, 3.0% long-term growth).
- Bear: 12x 2026E P/E - worse auto sales domestically and overseas, more severe price cuts.

Risks to Upside

- New model launches
- Faster-than-expected overseas expansion
- Stronger-than-expected demand for NEVs globally

Risks to Downside

- Lack of progress in overseas expansion amid rising protectionism
- Weaker-than-expected demand for NEVs globally
- Worse-than-expected gross margin

XPeng Inc. (9868.HK)

Derived from our ADR price target using 7.85 HKD/USD. We assign 30%/50%/20% weightings to our bull/base/bear case scenarios - the bull/bear weighting reflects the potential for valuation re-rating from non-vehicle business/the macro outlook to weaken and sector competition to worsen.

Key base case assumptions: 3% terminal growth rate, 1.6x beta, 12.8% WACC.

Risks to Upside

- More competitive model introductions that drive volume growth
- Greater-than-expected margin expansion
- Better-than-expected branding with superior in-car user experience

Risks to Downside

- Intensified competition in the mid-/high-end segments
- Cash flow pressure with lower profitability
- Moderating auto sales growth pressuring overall industry valuation

XPeng Inc. (XPEV.N)

Probability-weighted DCF methodology. Weightings for our bull (SoTP)/base/bear case scenarios are 30%/50%/20% - the bull/bear weighting reflects the potential for valuation re-rating from non-vehicle business/the macro outlook to weaken and sector competition to worsen.

Key base case assumptions: 3% terminal growth rate, 1.6x beta, 12.8% WACC.

Risks to Upside

- More competitive model introductions that drive volume growth
- Greater-than-expected margin expansion
- Better-than-expected branding with superior in-car user experience

Risks to Downside

- Intensified competition in the midrange/high-end segments
- Cash flow pressure with lower profitability
- Moderating auto sales growth pressuring overall industry valuation

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

BYD Company Limited (002594.SZ) - As of 06/25/26 GMT in CNY
Industry : China Autos & Shared Mobility

Stock Rating History: 6/1/21 : E/C; 6/8/21 : U/C; 9/1/21 : U/A; 2/8/22 : E/A; 8/25/22 : E/I; 4/14/25 : O/I

Price Target History: 10/13/20 : 42; 6/8/21 : 45; 11/16/21 : 77.33; 2/8/22 : 81.67; 7/8/22 : 101; 11/3/22 : 80; 3/20/23 : 78.33; 7/28/23 : 91; 10/31/23 : 90; 1/8/24 : 77.33; 3/10/24 : 72.67; 8/7/24 : 68; 9/17/24 : 76.67; 1/13/25 : 89.67; 3/18/25 : 101.67; 4/14/25 : 144.33; 8/1/25 : 144; 8/30/25 : 136; 10/13/25 : 129; 10/31/25 : 125; 5/11/26 : 120

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target -- No Price Target Assigned (NA)
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 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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BYD Company Limited (1211.HK) - As of 06/25/26 GMT in HKD
Industry : China Autos & Shared Mobility

Stock Rating History: 6/1/21 : E/C; 6/8/21 : U/C; 9/1/21 : U/A; 2/8/22 : E/A; 8/25/22 : E/I; 4/14/25 : O/I

Price Target History: 10/13/20 : 126; 6/8/21 : 132; 11/16/21 : 242; 2/8/22 : 256; 7/8/22 : 300; 11/3/22 : 220; 3/20/23 : 215; 7/28/23 : 249; 10/31/23 : 242; 1/8/24 : 239; 3/10/24 : 225; 8/7/24 : 209; 9/17/24 : 230; 1/13/25 : 270; 3/18/25 : 307; 4/14/25 : 438; 6/11/25 : 146; 8/30/25 : 137; 10/13/25 : 130; 10/31/25 : 126; 5/11/26 : 121

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target -- No Price Target Assigned (NA)
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 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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Geely Automobile Holdings (0175.HK) - As of 06/25/26 GMT in HKD
Industry : China Autos & Shared Mobility



Stock Rating History: 6/1/21 : U/C; 9/1/21 : O/A; 8/25/22 : O/I; 2/7/23 : NA/I; 6/26/24 : O/I

Price Target History: 12/9/20 : 13; 9/1/21 : 35; 3/16/22 : 20; 6/28/22 : 22; 2/7/23 : NA; 6/26/24 : 11.2; 1/13/25 : 17; 2/28/25 : 21; 8/15/25 : 24; 12/8/25 : 25; 5/7/26 : 28

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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XPeng Inc. (9868.HK) - As of 06/25/26 GMT in HKD
Industry : China Autos & Shared Mobility



Stock Rating History: 11/16/21 : O/A; 8/25/22 : O/I

Price Target History: 11/16/21 : 275; 3/23/22 : 165; 7/8/22 : 160; 10/3/22 : 71; 11/3/22 : 43; 3/20/23 : 48; 7/28/23 : 99; 1/8/24 : 91; 3/10/24 : 71; 8/7/24 : 45.6; 11/6/24 : 66.4; 1/13/25 : 76; 2/28/25 : 101; 6/12/25 : 108; 10/13/25 : 119; 11/11/25 : 131; 5/11/26 : 96

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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XPeng Inc. (XPEV.N) - As of 06/25/26 GMT in USD
Industry : China Autos & Shared Mobility



Stock Rating History: 6/1/21 : 0/C; 9/1/21 : 0/A; 8/25/22 : 0/I

Price Target History: 3/26/21 : 57; 11/16/21 : 71; 3/23/22 : 42; 7/8/22 : 41; 10/3/22 : 18; 11/3/22 : 12; 3/20/23 : 12.5; 7/28/23 : 25.4; 1/8/24 : 23.1; 3/10/24 : 18; 8/7/24 : 11.7; 11/6/24 : 17; 1/13/25 : 19; 2/28/25 : 26; 6/12/25 : 28; 10/13/25 : 30; 11/11/25 : 34; 5/11/26 : 25

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/24/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb28.97
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.89
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$1.98
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.02
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.32
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.18
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb16.53
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb10.90
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb24.73
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.08
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$3.43
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb26.65
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb72.18
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb25.73
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb110.58
China MeiDong Auto Holdings Ltd (1268.HK)	E (01/08/2024)	HK\$0.59
China Yongda Automobiles Services (3669.HK)	E (08/13/2024)	HK\$0.74
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb26.14
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb48.13
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$49.42
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb83.87
Keboda (603786.SS)	O (01/17/2024)	Rmb44.40
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$27.38
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.92
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$4.06

Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb22.76
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb58.20
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb12.91
Suzhou Recodeal Interconnect System (688800.SS)	U (09/27/2024)	Rmb99.80
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$12.24
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb43.90
Zhongsheng Group Holdings (0881.HK)	O (10/12/2021)	HK\$5.20
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb5.22
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb83.30
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$75.95
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$6.63
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$17.56
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb16.02
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$9.60
Hesai Group (HSAI.O)	O (07/28/2025)	US\$15.61
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.02
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.39
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$49.44
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$39.08
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.90
WeRide Inc (WRD.O)	O (11/19/2024)	US\$5.60
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$49.14
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$12.48

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* Historical prices are not split adjusted.